

Independent Contractor Agreement

This Agreement is made effective as of **October 12, 2019**, by and between:

Piter Zacari Garcia Bautista

Residing at: 109-19 72nd Road, Apt. 54, Forest Hills, NY 11375, USA
(hereinafter referred to as "Client")

and

Diana Sori Garcia Bautista

Residing at: On-site patio quarters within Sol Oriens V, Santo Domingo, DR (assigned to Unit G-101)
(hereinafter referred to as "Contractor")

1. Scope of Work

The Contractor agrees to provide the following services related to the Client's short-term rental properties located in Sol Oriens V, Dominican Republic:

- Guest communication and check-in coordination
- Cleaning oversight and scheduling
- Inventory management (toiletries, linens, supplies)
- Routine maintenance supervision and vendor coordination
- On-site property inspections and monthly status updates
- **HOA representation and coordination**, including voting on community improvements, security upgrades, and managing fee assessments
- **Legal assistance related to the Villa H-01 scam recovery efforts**(2020–2022), including:
 - Correspondence with Guzmán Ariza law firm (October 8-21, 2020)
 - Support for civil lawsuit preparation and filings
 - Document notarization and legal payment processing (\$6,210 via PayPal)
 - Coordination with local attorneys on tax cost recovery (\$11,710.88) and unreimbursed fund recovery (\$43,045)
- Digital coordination, guest outreach, and support with online platform listings and reviews (including Google Maps listing verified June 2022)

Timeline Note:

- Villa H-01 was intended as an income-producing Airbnb rental. While undelivered due to fraud, all related activity qualifies under IRS business loss rules (Form 4684, Schedule C).
- Contractor began informal support in 2018, with formal responsibilities commencing October 12, 2019, and full-scale operational duties beginning February 1, 2022 (Airbnb launch, verified by Google Maps listing).

2. Compensation

In lieu of traditional salary or wages, the Client agrees to compensate the Contractor as follows:

- Housing Coverage: Access to private patio suite within property grounds (valued at ~\$1,200/month in equivalent rent)
- Transportation & Coordination: Monthly remittances sent via Western Union (2018–mid 2023) and Remitly (late 2023–present) to cover service-related travel, maintenance coordination, and utilities
- Meal & Expense Stipends: Food, supplies, and utility reimbursements included in monthly transfers

Contractor Engagement Timeline:

Period	Activity Description	Tax Classification
2018 – Jan 2022	Startup phase – property setup, furnishing, preparation	Capitalized startup costs (Form 4562)
Feb 2022 – Sep 2023	Active operations with variable monthly transfers	Schedule E (Business Expense)
Oct 2023 – Present	Standardized compensation of \$3,000/month via Remitly	Schedule E (Business Expense)

Transfer Breakdown:

- 2018 to Jan 2022: \$5,000/month via Western Union (verified by MTCNs 7638 dated Jan 7, 2022, MTCNs 6523 dated Nov 15, 2021, 5101 dated Oct 7, 2021, 0628 dated Aug 31, 2021, and \$600 – MTCN 2160 dated Aug 24, 2021)
- Feb 2022 to Sep 2023: Variable amounts during transition (17 documented transfers in 2022 totaling \$33,665.96, including transfers of \$4,000 on Feb 2, Mar 15, and May 4, 2022)
- Oct 2023 to Present: \$3,000/month via Western Union/Remitly (verified by MTCNs 0541 dated Dec 23, 2023, 8046 dated Oct 19, 2023, and 2024 transfers via MTCNs 559753, 266229, 890927, 605739, 922957)

Mixed-Use Expense Allocation:

For transfers marked with "para inversión y comida en el apartamento" or similar, a 70/30 business/personal proration is applied for tax purposes, with 70% qualifying as deductible business expenses.

Transfers below these base amounts are classified as additional capital for specific projects (repairs, materials, legal).

3. Term & Termination

This Agreement remains in effect from October 12, 2019 through the present and shall continue until terminated by either party with 30 days written notice. Retroactive documentation of pre-2022 efforts is included for audit defense purposes.

4. Independent Contractor Status

The Contractor acknowledges they are not an employee, do not receive benefits, and are responsible for their own legal or tax obligations in the Dominican Republic. No employer-employee relationship is implied.

5. Jurisdiction & Legal Compliance

This Agreement shall be governed by the laws of the State of New York, USA. Both parties agree to maintain compliance with applicable U.S. tax law and Dominican business registration if required.

6. Supporting Records & Notes

The Contractor's compensation history is fully documented through Western Union and Remitly transfers. Verified payments include:

2021:

- \$5,000 – MTCN 6523 (Nov 15, 2021)
 - \$5,000 – MTCN 5101 (Oct 7, 2021)
 - \$5,000 – MTCN 0628 (Aug 31, 2021)
 - \$600 – MTCN 2160 (Aug 24, 2021)
- **Total: \$15,600**

2022:

- \$5,000 – MTCN 7638 (Jan 7, 2022) - Final pre-rental payment
 - 16 additional transfers with varying amounts (\$4,000, \$2,000, \$1,500, etc.)
- **Total: \$33,665.96**

2023:

- \$3,000 – MTCN 0541 (Dec 23, 2023)
 - \$3,000 – MTCN 8046 (Oct 19, 2023)
- **Total: \$6,000**

2024:

- \$3,000 – MTCN 559753 (Dec 16, 2024)
 - \$3,000 – MTCN 266229 (Oct 16, 2024)
 - \$3,000 – MTCN 890927 (Jul 6, 2024)
 - \$3,000 – MTCN 605739 (May 15, 2024)
 - \$3,000 – MTCN 922957 (Mar 4, 2024)
- Total: \$15,000

Payments were directed to Diana Sori Garcia at Sol Oriens V, designated as the contractor for property operations.

Villa Litigation Documentation

- Case No.: 186-2020-ECIV-00885
- Deductible Legal Fees**: \$6,210 (PayPal TXN 5YA54263HX791423L)
- Theft Loss: \$47,274.89 (IRS Form 4684 Section B)
- Interest Paid: \$1,144.17 (SoFi Loan 378833) → Form 4952 (Investment Interest Deduction)

Loan Interest Tracking

Date	Description	Amount	IRS Form
2024-12-31	SoFi Business Loan Interest (Loan ID: 37883)	\$1,144.17	Form 4952

Additional Support Documentation:

- Google Maps listing confirmation (June 9, 2022)
- Banco Popular payment confirmation (January 8, 2020)
- HOA contributor lists ("Listado_Contribuyentes_2024_SolOriens.pdf")
- Prefactura from G.C.G., S.A.S. for bed frames (RD\$33,200 - November 22, 2020)
- Guzman Ariza legal correspondence and \$6,210 PayPal payment (October 21, 2020)
- `Serena Village Pago/` – Verified PayPal, bank transfers, and HOA payment receipts
- `Serena Villa Sue/` – Legal correspondence, court filings, and timeline of civil action

This consistent pattern of verified payments supports the legitimacy of her independent contractor status and qualifies the compensation as IRS-deductible business expenses under Schedule E and Form 4562.

🔗 Exhibit A contains a selection of verified MTCNs for audit protection and CPA review.

7. Signatures

IN WITNESS WHEREOF, the parties hereto have executed this Independent Contractor Agreement as of the date first written above.



Piter Zacari Garcia Bautista
(Client)



Diana Sori Garcia Bautista
(Contractor)

Date: 04/07/2025

Date: 04/10/2025